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viii. Rate of interest on drawing

Whether any interest is to be allowed on drawing, the rate of interest is to be specifird

ix. Loan from partners

Whether loans can be accepted from the partners and if so the rate of interest payable thereon.

x. Account keeping

Maintenance of accounts and audit.

xi. Salary and Commission to Partners

Amount of salary or commission payable to partners for their services. (Unless this is specifically provided, no partner is entitled to any salary).

xii. Retirement

Matters relating to retirement of a partner. The arrangement to be made for paying out the amount due to a retired or deceased partner must also be stated.

xiii. Goodwill valuation

Method of valuing goodwill on the admission, death or retirement of a partner.

xiv. Distribution of responsibility

The work that is entrusted to each partner is better stated in the deed itself.

xv. Dissolution procedure

Procedure for dissolution of the firm and the mode of settlement of accounts thereafter.

xvi. Arbitration of dispute

Arbitration in case of disputes among partners. The deed should provide the method for settling disputes or difference of opinion. This clause will avoid costly litigations.

Format of Partnership Deed



5.04 Rights and Duties of Partners

The mutual rights and obligations are usually stated in the partnership deed. In the absence of any deed, the provisions of the partnership Act as stated below will apply.

1. Rights of a Partner

i. Right to take part in business

Every partner has a right to take part in the management of the business.

ii. Right to be consulted

Every partner has the right to be consulted in all the matters concerning the firm. The decision of the majority will prevail in all the routine matters. But, where the matter is of fundamental importance such as admission of a new partner, change in the nature of business etc., decision must be unanimous.